

# **KELANI CABLES PLC**

**Company Reg. No. PQ 117**



## **INTERIM FINANCIAL STATEMENTS**

**FOR THE YEAR ENDED MARCH 31, 2021**

**KELANI CABLES PLC**
**INTERIM FINANCIAL STATEMENTS - 31 MARCH 2021**
**STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME**

| For the quarter ended 31 March                                  | COMPANY AND INVESTEE   |                 | COMPANY                |                 |
|-----------------------------------------------------------------|------------------------|-----------------|------------------------|-----------------|
|                                                                 | 2021<br>Rs.            | 2020<br>Rs.     | 2021<br>Rs.            | 2020<br>Rs.     |
| <b>Revenue</b>                                                  | <b>3,395,082,857</b>   | 2,043,756,082   | <b>3,395,082,857</b>   | 2,043,756,082   |
| Cost of sales                                                   | <b>(2,843,863,417)</b> | (1,756,157,599) | <b>(2,843,863,417)</b> | (1,756,157,599) |
| <b>Gross profit</b>                                             | <b>551,219,440</b>     | 287,598,483     | <b>551,219,440</b>     | 287,598,483     |
| Other income                                                    | <b>18,154,156</b>      | 14,305,658      | <b>18,154,156</b>      | 14,305,658      |
| Distribution expenses                                           | <b>(155,251,040)</b>   | (162,107,517)   | <b>(155,251,040)</b>   | (162,107,517)   |
| Administrative expenses                                         | <b>(91,946,589)</b>    | (100,555,025)   | <b>(91,946,589)</b>    | (100,555,025)   |
| <b>Profit from operations</b>                                   | <b>322,175,967</b>     | 39,241,599      | <b>322,175,967</b>     | 39,241,599      |
| Finance income                                                  | <b>8,659,250</b>       | 42,063,070      | <b>8,659,250</b>       | 42,063,070      |
| Finance expenses                                                | <b>(32,594,810)</b>    | (33,569,154)    | <b>(32,594,810)</b>    | (33,569,154)    |
| Net finance expenses                                            | <b>(23,935,560)</b>    | 8,493,916       | <b>(23,935,560)</b>    | 8,493,916       |
| Share of (loss)/profit on equity accounted investee, net of tax | <b>(519,017)</b>       | 58,907          | -                      | -               |
| <b>Profit before tax</b>                                        | <b>297,721,390</b>     | 47,794,422      | <b>298,240,407</b>     | 47,735,515      |
| Income tax expense                                              | <b>(53,683,273)</b>    | 33,422,650      | <b>(53,683,273)</b>    | 33,422,650      |
| <b>Profit for the quarter</b>                                   | <b>244,038,117</b>     | 81,217,072      | <b>244,557,134</b>     | 81,158,165      |
| <b>Other comprehensive income</b>                               |                        |                 |                        |                 |
| <b>Items that will not be reclassified to profit or loss</b>    |                        |                 |                        |                 |
| Actuarial (loss)/gain on defined benefit obligations            | (28,444,633)           | 3,619,406       | (28,444,633)           | 3,619,406       |
| Related tax                                                     | 5,120,034              | (1,013,434)     | 5,120,034              | (1,013,434)     |
| <b>Other comprehensive income , net of tax</b>                  | <b>(23,324,599)</b>    | 2,605,972       | <b>(23,324,599)</b>    | 2,605,972       |
| <b>Total comprehensive income for the quarter</b>               | <b>220,713,518</b>     | 83,823,044      | <b>221,232,535</b>     | 83,764,137      |
| <b>Earnings per share -Rs.</b>                                  | <b>11.19</b>           | 3.73            | <b>11.22</b>           | 3.72            |
| <b>Market value per share</b>                                   |                        |                 |                        |                 |
| Highest price-Rs.                                               |                        |                 | <b>195.00</b>          | 90.00           |
| Lowest price-Rs.                                                |                        |                 | <b>103.00</b>          | 52.00           |
| Last traded price-Rs.                                           |                        |                 | <b>111.75</b>          | 52.00           |
| Number of shares representing the stated capital (Nos.)         |                        |                 | <b>21,800,000</b>      | 21,800,000      |

**KELANI CABLES PLC**
**INTERIM FINANCIAL STATEMENTS - 31 MARCH 2021**
**STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME**

| For the year ended 31 March                                  | COMPANY AND INVESTEE   |                 | COMPANY                |                 |
|--------------------------------------------------------------|------------------------|-----------------|------------------------|-----------------|
|                                                              | 2021<br>Rs.            | 2020<br>Rs.     | 2021<br>Rs.            | 2020<br>Rs.     |
| <b>Revenue</b>                                               | <b>9,685,787,013</b>   | 8,759,918,341   | <b>9,685,787,013</b>   | 8,759,918,341   |
| Cost of sales                                                | <b>(8,392,560,897)</b> | (7,446,511,362) | <b>(8,392,560,897)</b> | (7,446,511,362) |
| <b>Gross profit</b>                                          | <b>1,293,226,116</b>   | 1,313,406,979   | <b>1,293,226,116</b>   | 1,313,406,979   |
| Other income                                                 | <b>25,313,720</b>      | 24,291,162      | <b>25,313,720</b>      | 24,291,162      |
| Distribution expenses                                        | <b>(471,066,042)</b>   | (540,298,599)   | <b>(471,066,042)</b>   | (540,298,599)   |
| Administrative expenses                                      | <b>(330,671,705)</b>   | (314,291,236)   | <b>(330,671,705)</b>   | (314,291,236)   |
| <b>Profit from operations</b>                                | <b>516,802,089</b>     | 483,108,306     | <b>516,802,089</b>     | 483,108,306     |
| Finance income                                               | 34,865,822             | 94,968,168      | 34,865,822             | 94,968,168      |
| Finance expenses                                             | (109,659,528)          | (149,921,522)   | (109,659,528)          | (149,921,522)   |
| <b>Net finance expenses</b>                                  | <b>(74,793,706)</b>    | (54,953,354)    | <b>(74,793,706)</b>    | (54,953,354)    |
| Share of loss on equity accounted investee, net of tax       | <b>(2,110,097)</b>     | (2,009,125)     | -                      |                 |
| <b>Profit before tax</b>                                     | <b>439,898,286</b>     | 426,145,827     | <b>442,008,383</b>     | 428,154,952     |
| Income tax expense                                           | <b>(79,561,509)</b>    | (73,094,792)    | <b>(79,561,509)</b>    | (73,094,792)    |
| <b>Profit / (loss) for the year</b>                          | <b>360,336,777</b>     | 353,051,035     | <b>362,446,874</b>     | 355,060,160     |
| <b>Other comprehensive income</b>                            |                        |                 |                        |                 |
| <b>Items that will not be reclassified to profit or loss</b> |                        |                 |                        |                 |
| Actuarial (loss)/gain on defined benefit obligations         | <b>(28,962,253)</b>    | 627,827         | <b>(28,962,253)</b>    | 627,827         |
| Related tax                                                  | <b>5,213,206</b>       | (175,792)       | <b>5,213,206</b>       | (175,792)       |
| <b>Other comprehensive income, net of tax</b>                | <b>(23,749,047)</b>    | 452,035         | <b>(23,749,047)</b>    | 452,035         |
| <b>Total comprehensive income for the year</b>               | <b>336,587,730</b>     | 353,503,070     | <b>338,697,827</b>     | 355,512,195     |
| <b>Earnings per share -Rs.</b>                               | <b>16.53</b>           | 16.20           | <b>16.63</b>           | 16.29           |
| <b>Market value per share</b>                                |                        |                 |                        |                 |
| Highest price-Rs.                                            |                        |                 | <b>195.00</b>          | 95.00           |
| Lowest price-Rs.                                             |                        |                 | <b>50.00</b>           | 52.00           |
| Last traded price-Rs.                                        |                        |                 | <b>111.75</b>          | 52.00           |
| Number of shares representing the stated capital             |                        |                 | <b>21,800,000</b>      | 21,800,000      |

**KELANI CABLES PLC****INTERIM FINANCIAL STATEMENTS - 31 MARCH 2021****STATEMENT OF FINANCIAL POSITION**

|                                         | <b>COMPANY &amp; INVESTEE</b>          |                                        | <b>COMPANY</b>                         |                                        |
|-----------------------------------------|----------------------------------------|----------------------------------------|----------------------------------------|----------------------------------------|
|                                         | <b>As at 31 March<br/>2021<br/>Rs.</b> | <b>As at 31 March<br/>2020<br/>Rs.</b> | <b>As at 31 March<br/>2021<br/>Rs.</b> | <b>As at 31 March<br/>2020<br/>Rs.</b> |
| <b>ASSETS</b>                           |                                        |                                        |                                        |                                        |
| <b>NON CURRENT ASSETS</b>               |                                        |                                        |                                        |                                        |
| Property, plant and equipment           | 860,405,117                            | 822,247,277                            | 860,405,117                            | 822,247,277                            |
| Investment property                     | 306,000,000                            | 306,000,000                            | 306,000,000                            | 306,000,000                            |
| Investment in equity accounted investee | 52,631,923                             | 54,742,020                             | 51,200,000                             | 51,200,000                             |
|                                         | <b>1,219,037,040</b>                   | <b>1,182,989,297</b>                   | <b>1,217,605,117</b>                   | <b>1,179,447,277</b>                   |
| <b>CURRENT ASSETS</b>                   |                                        |                                        |                                        |                                        |
| Inventories                             | 2,330,033,269                          | 1,749,973,547                          | 2,330,033,269                          | 1,749,973,547                          |
| Trade and other receivables             | 2,995,037,449                          | 2,924,566,409                          | 2,995,037,449                          | 2,924,566,409                          |
| Amount due from related companies       | 224,294                                | 10,135,360                             | 224,294                                | 10,135,360                             |
| Value added tax recoverable             | 743,686,739                            | 643,766,838                            | 743,686,739                            | 643,766,838                            |
| Deposits and prepayments                | 15,345,296                             | 15,281,688                             | 15,345,296                             | 15,281,688                             |
| Cash and cash equivalents               | 924,789,700                            | 764,898,171                            | 924,789,700                            | 764,898,171                            |
|                                         | <b>7,009,116,747</b>                   | <b>6,108,622,013</b>                   | <b>7,009,116,747</b>                   | <b>6,108,622,013</b>                   |
| <b>TOTAL ASSETS</b>                     | <b>8,228,153,787</b>                   | <b>7,291,611,310</b>                   | <b>8,226,721,864</b>                   | <b>7,288,069,290</b>                   |
| <b>EQUITY AND LIABILITIES</b>           |                                        |                                        |                                        |                                        |
| <b>EQUITY</b>                           |                                        |                                        |                                        |                                        |
| Stated capital                          | 218,000,000                            | 218,000,000                            | 218,000,000                            | 218,000,000                            |
| Capital reserves                        | 404,949,947                            | 404,949,947                            | 353,276,640                            | 353,276,640                            |
| General reserves                        | 431,136,000                            | 431,136,000                            | 431,136,000                            | 431,136,000                            |
| Retained earnings                       | 3,146,848,600                          | 2,908,360,870                          | 3,197,089,984                          | 2,956,492,157                          |
|                                         | <b>4,200,934,547</b>                   | <b>3,962,446,817</b>                   | <b>4,199,502,624</b>                   | <b>3,958,904,797</b>                   |
| <b>NON-CURRENT LIABILITIES</b>          |                                        |                                        |                                        |                                        |
| Employee benefits                       | 160,740,912                            | 117,713,145                            | 160,740,912                            | 117,713,145                            |
| Deferred taxation                       | 7,595,834                              | 12,809,040                             | 7,595,834                              | 12,809,040                             |
| Interest bearing borrowings             | 2,157,346                              | 5,017,159                              | 2,157,346                              | 5,017,159                              |
|                                         | <b>170,494,092</b>                     | <b>135,539,344</b>                     | <b>170,494,092</b>                     | <b>135,539,344</b>                     |
| <b>CURRENT LIABILITIES</b>              |                                        |                                        |                                        |                                        |
| Trade and other payables                | 2,034,609,821                          | 1,268,148,186                          | 2,034,609,821                          | 1,268,148,186                          |
| Amount due to related companies         | 600,636,823                            | 443,717,040                            | 600,636,823                            | 443,717,040                            |
| Current taxation                        | 310,965,790                            | 286,892,844                            | 310,965,790                            | 286,892,844                            |
| Unclaimed dividends                     | 17,212,429                             | 14,957,690                             | 17,212,429                             | 14,957,690                             |
| Interest bearing borrowings             | 802,432,730                            | 1,011,920,690                          | 802,432,730                            | 1,011,920,690                          |
| Bank overdrafts                         | 90,867,555                             | 167,988,699                            | 90,867,555                             | 167,988,699                            |
|                                         | <b>3,856,725,148</b>                   | <b>3,193,625,149</b>                   | <b>3,856,725,148</b>                   | <b>3,193,625,149</b>                   |
| <b>TOTAL LIABILITIES</b>                | <b>4,027,219,240</b>                   | <b>3,329,164,493</b>                   | <b>4,027,219,240</b>                   | <b>3,329,164,493</b>                   |
| <b>TOTAL EQUITY AND LIABILITIES</b>     | <b>8,228,153,787</b>                   | <b>7,291,611,310</b>                   | <b>8,226,721,864</b>                   | <b>7,288,069,290</b>                   |
| <b>Net Asset Per Share</b>              | <b>192.70</b>                          | <b>181.76</b>                          | <b>192.64</b>                          | <b>181.60</b>                          |

These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.

**Ms. Hemamala Karunasekara**  
**Chief Financial Officer**

**Mahinda Saranapala**  
**Director / Chief Executive Officer**

**U. G. Madanayake**  
**Chairman**

**May 24, 2021**  
**Colombo**

**KELANI CABLES PLC**
**INTERIM FINANCIAL STATEMENTS - 31 MARCH 2021**
**STATEMENT OF CHANGES IN EQUITY**
**COMPANY AND INVESTEE**

|                                            | <b>Stated<br/>Capital<br/>Rs.</b> | <b>Capital<br/>Reserves<br/>Rs.</b> | <b>General<br/>Reserves<br/>Rs.</b> | <b>Retained<br/>Earnings<br/>Rs.</b> | <b>Total<br/><br/>Rs.</b> |
|--------------------------------------------|-----------------------------------|-------------------------------------|-------------------------------------|--------------------------------------|---------------------------|
| Balance as at 1 April 2019                 | 218,000,000                       | 404,949,947                         | 431,136,000                         | 2,631,157,800                        | 3,685,243,747             |
| <b>Comprehensive income for the period</b> |                                   |                                     |                                     |                                      |                           |
| Profit for the period                      |                                   |                                     |                                     | 353,051,035                          | 353,051,035               |
| Other comprehensive income                 | -                                 | -                                   | -                                   | 452,035                              | 452,035                   |
| Total comprehensive income                 | -                                 | -                                   | -                                   | 353,503,070                          | 353,503,070               |
| Interim dividend                           | -                                 | -                                   | -                                   | (76,300,000)                         | (76,300,000)              |
| Balance as at 31 March 2020                | <u>218,000,000</u>                | <u>404,949,947</u>                  | <u>431,136,000</u>                  | <u>2,908,360,870</u>                 | <u>3,962,446,817</u>      |

|                                            |                           |                           |                           |                             |                             |
|--------------------------------------------|---------------------------|---------------------------|---------------------------|-----------------------------|-----------------------------|
| <b>Balance as at 1 April 2020</b>          | <b>218,000,000</b>        | <b>404,949,947</b>        | <b>431,136,000</b>        | <b>2,908,360,870</b>        | <b>3,962,446,817</b>        |
| <b>Comprehensive income for the period</b> |                           |                           |                           |                             |                             |
| Profit for the period                      | -                         | -                         | -                         | 360,336,777                 | 360,336,777                 |
| Other comprehensive income                 | -                         | -                         | -                         | (23,749,047)                | (23,749,047)                |
| Total comprehensive income                 | -                         | -                         | -                         | 336,587,730                 | 336,587,730                 |
| Interim Dividend                           | -                         | -                         | -                         | (98,100,000)                | (98,100,000)                |
| <b>Balance as at 31 March 2021</b>         | <b><u>218,000,000</u></b> | <b><u>404,949,947</u></b> | <b><u>431,136,000</u></b> | <b><u>3,146,848,600</u></b> | <b><u>4,200,934,547</u></b> |

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**COMPANY**

|                                            | <b>Stated<br/>Capital<br/>Rs.</b> | <b>Capital<br/>Reserves<br/>Rs.</b> | <b>General<br/>Reserves<br/>Rs.</b> | <b>Retained<br/>Earnings<br/>Rs.</b> | <b>Total<br/><br/>Rs.</b> |
|--------------------------------------------|-----------------------------------|-------------------------------------|-------------------------------------|--------------------------------------|---------------------------|
| Balance as at 1 April 2019                 | 218,000,000                       | 353,276,640                         | 431,136,000                         | 2,677,279,962                        | 3,679,692,602             |
| <b>Comprehensive income for the period</b> |                                   |                                     |                                     |                                      |                           |
| Profit for the period                      | -                                 | -                                   | -                                   | 355,060,160                          | 355,060,160               |
| Other comprehensive income                 | -                                 | -                                   | -                                   | 452,035                              | 452,035                   |
| Total comprehensive income                 | -                                 | -                                   | -                                   | 355,512,195                          | 355,512,195               |
| Interim dividend                           | -                                 | -                                   | -                                   | (76,300,000)                         | (76,300,000)              |
| Balance as at 31 March 2020                | <u>218,000,000</u>                | <u>353,276,640</u>                  | <u>431,136,000</u>                  | <u>2,956,492,157</u>                 | <u>3,958,904,797</u>      |

|                                            |                           |                           |                           |                             |                             |
|--------------------------------------------|---------------------------|---------------------------|---------------------------|-----------------------------|-----------------------------|
| <b>Balance as at 1 April 2020</b>          | <b>218,000,000</b>        | <b>353,276,640</b>        | <b>431,136,000</b>        | <b>2,956,492,157</b>        | <b>3,958,904,797</b>        |
| <b>Comprehensive income for the period</b> |                           |                           |                           |                             |                             |
| Profit for the period                      | -                         | -                         | -                         | 362,446,874                 | 362,446,874                 |
| Other comprehensive income                 | -                         | -                         | -                         | (23,749,047)                | (23,749,047)                |
| Total comprehensive income                 | -                         | -                         | -                         | 338,697,827                 | 338,697,827                 |
| Interim dividend                           | -                         | -                         | -                         | (98,100,000)                | (98,100,000)                |
| <b>Balance as at 31 March 2021</b>         | <b><u>218,000,000</u></b> | <b><u>353,276,640</u></b> | <b><u>431,136,000</u></b> | <b><u>3,197,089,984</u></b> | <b><u>4,199,502,624</u></b> |

**KELANI CABLES PLC**  
**INTERIM FINANCIAL STATEMENTS - 31 MARCH 2021**  
**STATEMENT OF CASH FLOWS**

**For the year ended 31 March**

**Cash flow from operating activities**

Profit before tax

Adjustments for:

Share of loss from equity accounted investee (net of tax)

Interest income

Interest expense

Changes in fair value of investment property

Depreciation of property, plant and equipment

Impairment of trade receivables

Provision for obsolete and slow moving inventories

Dividend Income

Gain on disposal of property, plant and equipment

Inventory Write off

Debtors write off

Provision for employee benefits

**Operating Profit before working capital changes**

**Changes in working capital**

(Increase)/Decrease in inventories

increase in trade and other receivables

Decrease in amount due from related companies

Increase in deposits and prepayments and

value added tax recoverable

Increase in amount due to related parties

Increase/(decrease) in trade and other payables

**Cash generated from operations**

Employee benefit paid

Current tax paid

Interest paid

**Net Cash Generated from / (used in) operating activities**

**Cash flow from investing activities**

Proceeds from disposal of property, plant and equipment

Acquisition of property, plant and equipment

Interest received

Dividend income

**Net cash (used in) / generated from investing activities**

**Cash flow from financing activities**

Dividend paid

Loans obtained during the period

Loans repayments during the period

**Net Cash (used in) / generated from financing activities**

**Net increase in cash and cash equivalents**

Cash and cash equivalents at beginning of the period

**Cash and cash equivalents at the end of the period**

|                                                                 | COMPANY & INVESTEE   |                      | COMPANY              |                      |
|-----------------------------------------------------------------|----------------------|----------------------|----------------------|----------------------|
|                                                                 | 2021                 | 2020                 | 2021                 | 2020                 |
|                                                                 | Rs.                  | Rs.                  | Rs.                  | Rs.                  |
| Profit before tax                                               | 439,898,286          | 426,145,827          | 442,008,383          | 428,154,952          |
| Adjustments for:                                                |                      |                      |                      |                      |
| Share of loss from equity accounted investee (net of tax)       | 2,110,097            | 2,009,125            | -                    | -                    |
| Interest income                                                 | (34,865,822)         | (40,775,187)         | (34,865,822)         | (40,775,187)         |
| Interest expense                                                | 97,550,564           | 149,921,522          | 97,550,564           | 149,921,522          |
| Changes in fair value of investment property                    | -                    | (11,000,000)         | -                    | (11,000,000)         |
| Depreciation of property, plant and equipment                   | 84,849,123           | 77,488,014           | 84,849,123           | 77,488,014           |
| Impairment of trade receivables                                 | 53,261               | 28,924,644           | 53,261               | 28,924,644           |
| Provision for obsolete and slow moving inventories              | 10,327,369           | 17,140,171           | 10,327,369           | 17,140,171           |
| Dividend Income                                                 | (40)                 | -                    | (40)                 | -                    |
| Gain on disposal of property, plant and equipment               | -                    | (52,174)             | -                    | (52,174)             |
| Inventory Write off                                             | 27,404,844           | 9,189,690            | 27,404,844           | 9,189,690            |
| Debtors write off                                               | -                    | 9,766                | -                    | 9,766                |
| Provision for employee benefits                                 | 24,901,452           | 22,375,540           | 24,901,452           | 22,375,540           |
| <b>Operating Profit before working capital changes</b>          | <b>652,229,134</b>   | <b>681,376,938</b>   | <b>652,229,134</b>   | <b>681,376,938</b>   |
| <b>Changes in working capital</b>                               |                      |                      |                      |                      |
| (Increase)/Decrease in inventories                              | (617,791,935)        | 70,141,989           | (617,791,935)        | 70,141,989           |
| increase in trade and other receivables                         | (70,524,301)         | (986,755,314)        | (70,524,301)         | (986,755,314)        |
| Decrease in amount due from related companies                   | 9,911,066            | 22,609,163           | 9,911,066            | 22,609,163           |
| Increase in deposits and prepayments and                        |                      |                      |                      |                      |
| value added tax recoverable                                     | (99,983,509)         | (68,508,217)         | (99,983,509)         | (68,508,217)         |
| Increase in amount due to related parties                       | 766,461,635          | 600,739,148          | 766,461,635          | 600,739,148          |
| Increase/(decrease) in trade and other payables                 | 156,919,783          | (41,949,750)         | 156,919,783          | (41,949,750)         |
| <b>Cash generated from operations</b>                           | <b>797,221,873</b>   | <b>277,653,957</b>   | <b>797,221,873</b>   | <b>277,653,957</b>   |
| Employee benefit paid                                           | (10,835,938)         | (17,827,621)         | (10,835,938)         | (17,827,621)         |
| Current tax paid                                                | (55,488,563)         | (168,378,942)        | (55,488,563)         | (168,378,942)        |
| Interest paid                                                   | (97,550,564)         | (149,921,522)        | (97,550,564)         | (149,921,522)        |
| <b>Net Cash Generated from / (used in) operating activities</b> | <b>633,346,808</b>   | <b>(58,474,128)</b>  | <b>633,346,808</b>   | <b>(58,474,128)</b>  |
| <b>Cash flow from investing activities</b>                      |                      |                      |                      |                      |
| Proceeds from disposal of property, plant and equipment         | -                    | 52,174               | -                    | 52,174               |
| Acquisition of property, plant and equipment                    | (123,006,963)        | (27,419,623)         | (123,006,963)        | (27,419,623)         |
| Interest received                                               | 34,865,822           | 40,775,187           | 34,865,822           | 40,775,187           |
| Dividend income                                                 | 40                   | -                    | 40                   | -                    |
| <b>Net cash (used in) / generated from investing activities</b> | <b>(88,141,101)</b>  | <b>13,407,738</b>    | <b>(88,141,101)</b>  | <b>13,407,738</b>    |
| <b>Cash flow from financing activities</b>                      |                      |                      |                      |                      |
| Dividend paid                                                   | (95,845,261)         | (74,736,628)         | (95,845,261)         | (74,736,628)         |
| Loans obtained during the period                                | 2,323,882,276        | 2,671,232,933        | 2,323,882,276        | 2,671,232,933        |
| Loans repayments during the period                              | (2,536,230,049)      | (2,777,392,964)      | (2,536,230,049)      | (2,777,392,964)      |
| <b>Net Cash (used in) / generated from financing activities</b> | <b>(308,193,034)</b> | <b>(180,896,659)</b> | <b>(308,193,034)</b> | <b>(180,896,659)</b> |
| <b>Net increase in cash and cash equivalents</b>                | <b>237,012,673</b>   | <b>(225,963,049)</b> | <b>237,012,673</b>   | <b>(225,963,049)</b> |
| Cash and cash equivalents at beginning of the period            | 596,909,472          | 822,872,521          | 596,909,472          | 822,872,521          |
| <b>Cash and cash equivalents at the end of the period</b>       | <b>833,922,145</b>   | <b>596,909,472</b>   | <b>833,922,145</b>   | <b>596,909,472</b>   |



# KELANI CABLES PLC

## INTERIM FINANCIAL STATEMENTS - 31 MARCH 2021

### NOTES TO THE FINANCIAL STATEMENTS

- The above figures are provisional and subject to audit.
- The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31 March 2020 and are in compliance with Sri Lanka Accounting Standards - LKAS 34 -Interim Financial Reporting.
- The previous period figures have been re-classified to confirm with the current year's presentation.
- The contingent liability as at March 31, 2021 on guarantees given to third parties amounted to Rs.133,131,696/-.
- The Board of Directors declared an Interim Dividend of Rs.4/50 per share for the year ended 31st March 2020 amounting to Rs.98.1 Mn on 23rd July 2020 which was paid on 24th August 2020.
- There have been no other material events subsequent to the interim period which require disclosure in the Financial Statements.
- The Covid-19 outbreak since early 2020 has brought about additional uncertainties in the Company's operating environment and has impacted the Company's operations. Based on the available information, the management of the company has assessed the existing and anticipated effects of Covid-19 on the Group companies and the appropriateness of the use of the going concern basis. The company has been closely monitoring the impact of the developments on the Company's business in the aspects of cost management, profitability, debt repayment, collection of cash and capital nature expenditure. Having evaluated the outlook of the industry, company has adopted new strategies to sustain successfully in the contemporary world.
- The number of shares held by the Board of Directors are as follows :

|                            |                   | As at 31 December 2020 |           | As at 31 December 2019 |           |
|----------------------------|-------------------|------------------------|-----------|------------------------|-----------|
|                            |                   | No. of Shares          | % Holding | No. of Shares          | % Holding |
| Mr. U. G. Madanayake       | - Chairman        | 56,200                 | 0.26%     | 56,200                 | 0.26%     |
| Mr. Suren Madanayake       | - Deputy Chairman | 61,000                 | 0.28%     | 61,000                 | 0.28%     |
| Mrs. N. C. Madanayake      | - Director        | -                      |           | -                      |           |
| Dr. Bandula Perera         | - Director        | -                      |           | -                      |           |
| Mr. Mahinda Saranapala     | - Director/CEO    | -                      |           | -                      |           |
| Mr. Deepal Sooriyaarachchi | - Director        | -                      |           | -                      |           |

- Shares held by public

|                                            | No. of Shares | % Holding | No. of Shareholders |
|--------------------------------------------|---------------|-----------|---------------------|
| Shares held by public as at 31 March 2021  | 4,399,696     | 20.2%     | 1358                |
| Float adjusted market capitalization (Rs.) | 491,666,028   |           |                     |

Company complies the requirement of Listing Rules of **7.13.1 -Minimum Public Holding as a Continuous Listing Requirement** under the option No. 05 of 7.13.1 (a) as follows.

| OPTION    | MINIMUM PUBLIC HOLDING REQUIREMENT   |                           |                               |
|-----------|--------------------------------------|---------------------------|-------------------------------|
|           | Float adjusted Market Capitalization | Public Holding Percentage | Number of Public Shareholders |
| Option -5 | Less than Rs.2.5Bn                   | 20%                       | 500                           |

- 20 Largest Shareholders of the Company as at December 31, 2020 were as follows:

|                                                            | No. of Shares | % Holding |
|------------------------------------------------------------|---------------|-----------|
| 1 Lanka Olex Cables (Private) Ltd                          | 16,349,348    | 75.00%    |
| 2 ACL Cables PLC                                           | 933,756       | 4.28%     |
| 3 Sri Lanka Opportunity Fund Pte Ltd                       | 780,084       | 3.58%     |
| 4 Bank of Ceylon-No 2 A/C (BOC PTF)                        | 323,800       | 1.49%     |
| 5 Hatton National Bank PLC-Arpico Ataraxia Equity          | 130,900       | 0.60%     |
| 6 People's Leasing & Finance PLC/Dr. H. S .D Soysa         | 115,870       | 0.53%     |
| 7 Thaha I. M.                                              | 103,500       | 0.47%     |
| 8 Waldock Mackenzie Ltd/Ceylinco Shriram Capital           | 76,600        | 0.35%     |
| 9 Saraswathi V. and Vasudevan S.                           | 63,944        | 0.29%     |
| 10 Goonesekera C. D. M. (Mrs)                              | 62,500        | 0.29%     |
| 11 Madanayake H. A. S.                                     | 61,000        | 0.28%     |
| 12 Employees Trust Fund Board                              | 59,045        | 0.27%     |
| 13 Madanayake U. G.                                        | 56,200        | 0.26%     |
| 14 Samanayake N. P. De A.                                  | 41,356        | 0.19%     |
| 15 Sezeka Limited                                          | 50,000        | 0.23%     |
| 16 Leonard D. S.                                           | 41,203        | 0.19%     |
| 17 Kannangara N. L. & De Livera S. S.                      | 40,000        | 0.18%     |
| 18 Amarasinghe R. & Amarasinghe U.                         | 37,000        | 0.17%     |
| 19 People's Leasing & Finance PLC/ L. H. L. M. P. Haradasa | 36,356        | 0.17%     |
| 20 Sumathipala U. W. J. P. A.                              | 35,200        | 0.16%     |

**CORPORATE INFORMATION**

|                                    |                                                                                                                                                                                                                                                                                                                                      |
|------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Name of the Company</b>         | - Kelani Cables PLC                                                                                                                                                                                                                                                                                                                  |
| <b>Company Registration No.</b>    | - PQ 117                                                                                                                                                                                                                                                                                                                             |
| <b>Legal Form</b>                  | - A Quoted Public Company with Limited Liability<br>Incorporated as Ceylon Non-Ferrous Metal Industries Limited on 27th January 1969. Thereafter on 18th December 1973 the name was changed to Kelani Cables Limited.<br>With the adoption of the Companies Act No. 07 of 2007, re-registered as Kelani Cables PLC in February 2008. |
| <b>Registered Office</b>           | - No. 60, Rodney Street, Colombo 08, Sri Lanka<br>Telephone : 94-11-7608300, 94-11-2697652<br>Fax : 94-11-2667758, 94 11 2699503                                                                                                                                                                                                     |
| <b>Principle Place of Business</b> | - P.O. Box 14, Wewelduwa, Kelaniya, Sri Lanka<br>Telephone : 94-11-2911224, 94-11-7434400<br>Fax : 94-11-2910481<br>Email : info@kelanicable.com<br>Website : www.kelanicable.com                                                                                                                                                    |
| <b>Board of Directors</b>          | - Mr. U. G. Madanayake<br>Mr. Suren Madanayake<br>Mrs. N. C. Madanayake<br>Dr. Bandula Perera<br>Mr. Mahinda Saranapala<br>Mr. Deepal Sooriyaarachchi                                                                                                                                                                                |
| <b>Company Secretary</b>           | - Corporate Affairs (Private) Limited.<br>No. 68/1, Dawson Street, Colombo 02, Sri Lanka                                                                                                                                                                                                                                             |
| <b>Auditors</b>                    | - KPMG<br>(Chartered Accountants)<br>32A, Sir Mohamed Macan Marker Mawatha<br>P. O. Box 186<br>Colombo 03<br>Sri Lanka                                                                                                                                                                                                               |
| <b>Bankers</b>                     | - Hatton National Bank PLC<br>Hongkong and Shanghai Banking Corporation Limited<br>Standard Chartered Bank<br>Peoples Bank<br>Nations Trust Bank PLC<br>NDB Bank PLC<br>DFCC Bank PLC<br>Sampath Bank PLC                                                                                                                            |